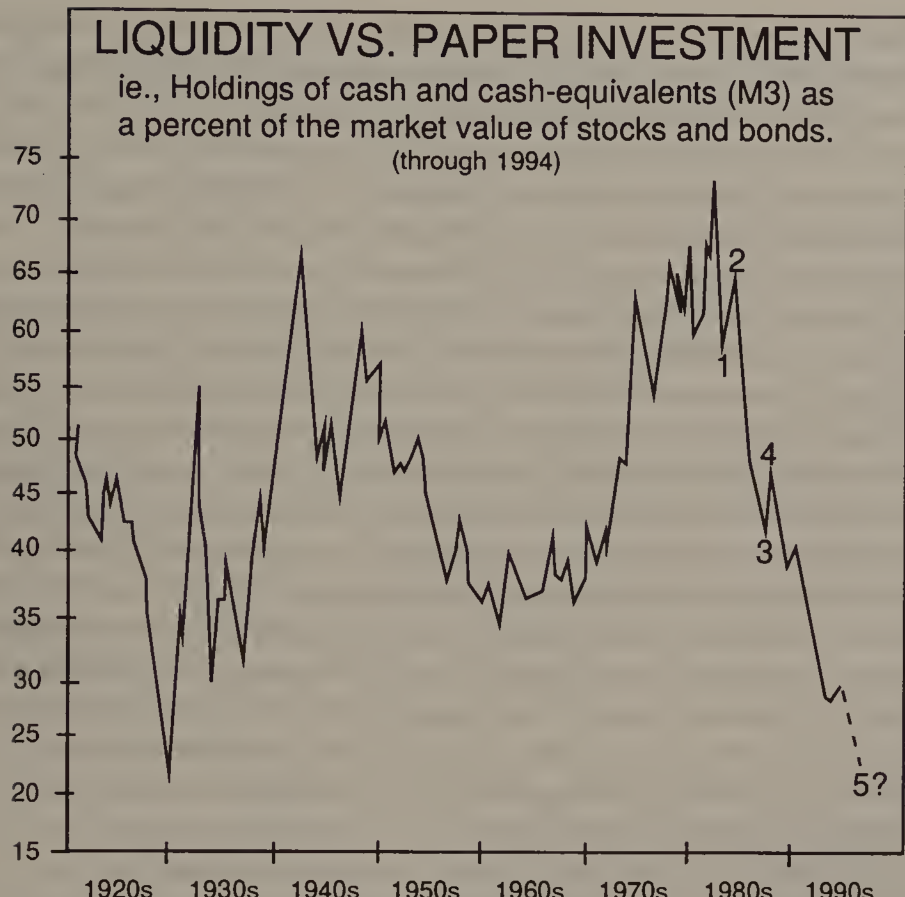

Figure 11-11

ever recorded by economist Albert Sindlinger, who has been compiling these statistics since 1955. A record was also set in September 1987, when 33.4% of the population was in the market (just before the crash). In the past three years, households have put money into stocks at a high *rate* as well. Never in fifty years of data has households' net money flow into the stock market consistently represented nearly 5% of disposable income, as it has from middle of 1991 to now. As a result, household liquid assets (cash, CDs, commercial paper and U.S. savings bonds) are at an all-time low percentage of total assets, having exceeded the previous low readings of the late 1960s when Cycle wave III was topping out. As people have bid up the prices of stocks and bonds, total available liquidity in the economy as a percentage of the market value of paper investments has fallen from an all-time high of 74% in 1982 to 28%, the lowest level since 1929. The drop from 1982, moreover, is a nearly completed five waves, suggesting an approaching reversal. Borrowers are providing some